

# Risk & Credit Policy Appendix

This appendix provides detailed guidance on underwriting, risk metrics and credit policy decisions for the SkillConnect JK platform. It is intended for platform operators, bank partners and regulators to ensure a consistent and transparent approach to credit evaluation and risk sharing.

## 1. Risk Framework Overview

The platform applies a **data-driven risk framework** based on the concepts of probability of default (PD), loss given default (LGD) and exposure at default (EAD). It uses two primary scores – Borrower Score and TPScore – to assess risk at both learner and training provider levels. The risk metrics inform interest rates, guarantee sizing, disbursement conditions and collection strategies.

### 1.1 Probability of Default (PD)

PD represents the likelihood that a borrower will fail to repay the loan. PD is influenced by dropout rates, certification success, placement outcomes and historical repayment behaviour. Pilot data from PMKVY indicates that about 37 % of enrollees do not certify[1]; these dropouts correspond to high PD. As pilot data accumulates, PD estimates will be refined for each borrower segment.

### 1.2 Exposure at Default (EAD)

EAD is the outstanding loan principal at the time of default. The platform mitigates EAD through milestone-based disbursement: funds are released only as learners progress, so if a borrower defaults early, the exposure is limited to the disbursed amount. At dropout, funds remaining in escrow are not released. The EAD is further reduced by TP refunds under guarantee policies.

### 1.3 Loss Given Default (LGD)

LGD is the fraction of EAD that is not recovered after default. Several mechanisms reduce LGD: 1. **TP Guarantee Deposit:** The training provider posts a deposit equal to a percentage of projected loan amounts; this deposit is drawn to reimburse the bank for losses due to learner dropout or non-certification. 2. **CGFSSD Guarantee:** The national credit guarantee fund covers 75 % of outstanding principal[2]; a state first-loss reserve fund may cover an additional percentage for J&K. 3. **Learner repayments:** If default occurs later in the loan cycle, some repayments may already have been collected via UPI AutoPay[3], reducing the outstanding amount.

## 2. Scoring Models

### 2.1 Borrower Score

The Borrower Score is a weighted index (0–100) evaluating the creditworthiness of a learner. Factors include:

1. **KYC & Identity Verification (10 %):** Verified Aadhaar via DigiLocker. Additional points for verified address proof.
2. **Education & Skills Baseline (20 %):** Highest qualification (school/college/graduate), baseline assessment scores (entry test for chosen course), prior certifications.
3. **Income & Financial Information (15 %):** Self-reported income band; evidence of existing bank account; any previous loans or repayment history (if available via credit bureaus). For unbanked individuals, assign neutral score.
4. **Course Fit & Demand (25 %):** Alignment between learner's goals and local job demand; high-demand sectors (IT/ITeS, electronics, tourism/hospitality) yield higher scores.
5. **Commitment Indicators (20 %):** Timeliness of document submission, promptness in completing enrolment tasks, engagement during orientation. Learners who engage quickly signal higher commitment.
6. **Community Endorsement (10 %):** Optional endorsements from community leaders, previous employers or local NGOs. Particularly useful for unbanked youth.

Score thresholds: - **≥ 80**: Low PD; eligible for full loan; lowest interest spread. - **50–79**: Moderate PD; may require smaller ticket size or co-signer. - **< 50**: High PD; application may be declined or deferred; learner referred to free courses.

### 2.2 TPScore

The TPScore measures a training provider's ability to deliver quality education and secure positive outcomes. Components include:

1. **Completion Rate (30 %):** Percentage of learners completing courses.
2. **Certification Rate (25 %):** Percentage of learners achieving certification (should be  $\geq 62\%$  baseline[1]).
3. **Placement Rate (20 %):** Percentage of certified learners placed within 6 months.
4. **Refund History (15 %):** Instances where TP guarantee deposits were used; fewer instances raise the score.
5. **Audit & Compliance (10 %):** Results of random audits for attendance reporting, financial conduct and student feedback.

TPScore thresholds: -  $\geq 80$ : Strong; guarantee deposit may be lower (e.g. 15 % of expected loan disbursements); eligible for future incentives. - **50–79**: Average; standard guarantee deposit (e.g. 25–30 %). -  $< 50$ : Risky; may be barred from new enrolments or required to provide higher guarantee ( $> 30$  %).

### 3. Guarantee Sizing Methodology

Two methods for determining TP guarantee deposit are considered:

#### 3.1 Dynamic Guarantee (Recommended)

Guarantee deposit GD for a training provider is calculated using the formula:

$$GD = E[\max(0, p * PD * EAD * (1 - CGFSSD\_coverage))]$$

Where: - p: Guarantee proportion factor (e.g. 1.2 – reflecting risk buffer). - PD: Probability of default estimated from TPScore and course outcomes. - EAD: Expected total principal disbursed for the TP's students. - CGFSSD\_coverage: Fraction covered by national guarantee fund (typically 75 %).

Advantages: - Adapts to provider performance; high-performing TPs pay lower guarantee. - Encourages improvement in outcomes.

#### 3.2 Fixed Guarantee (Alternative)

Set a flat guarantee percentage (e.g. 25 % of total expected tuition). Simple to understand and implement but may penalise good providers and under-price risk for poor performers.

**Caveats:** - In regions where data is sparse or outcomes are uniform, a fixed guarantee may be used initially with plans to transition to dynamic sizing when more data is available.

### 4. Interest Rate & Pricing

Interest is set as **MCLR/base rate + spread**. The spread can vary based on Borrower Score: - **Low risk ( $\geq 80$ )**: Spread = 1 % p.a. - **Moderate risk (50–79)**: Spread = 1.5 % p.a. - **High risk ( $< 50$ )**: Spread = 2 % p.a. or application declined.

Rates must be transparent and comply with the Model Skill Loan Scheme guidelines[4]. A pre-payment penalty is discouraged to encourage early repayment.

## 5. Disbursement & Repayment Policies

- **Milestone Disbursements:** Funds released in four tranches: T0 (30 %), T1 (30 %), T2 (20 %), T3 (20 %). A learner failing to meet a milestone within a grace period triggers withholding of future tranches and partial refund from TP guarantee.
- **Moratorium:** Course duration + 3 months; during moratorium, no EMI is collected. Interest accrues and capitalises (simple interest).
- **EMI Schedule:** Step-up structure – first six EMIs after moratorium at 50 % of standard amount, then increasing to 100 %. Allows learners to stabilise incomes.
- **Payment Flexibility:** Allow early payment and lump-sum partial payment without penalty. Offer deferment under force majeure (political unrest, health emergencies).

## 6. Delinquency Management

- **Grace Period:** 7 days after missed EMI; automatic re-attempt of UPI AutoPay.
- **Soft Contact:** SMS/IVR/email reminders; encourage borrower to deposit funds or contact support.
- **Guarantee Claim:** After 60 days past due, the platform draws from TP guarantee to cover due EMIs and notifies CGFSSD for claim processing. The borrower's Borrower Score is updated and future credit access may be restricted.
- **No Harassment:** Collections must adhere to RBI guidelines; no coercive methods. Emphasise borrower rehabilitation over punishment.

## 7. Stress Testing & Scenario Analysis

Conduct periodic stress tests by simulating adverse scenarios (e.g. 50 % dropout due to security lockdown, 20 % decline in placement rates, 10 % interest rate hike). Assess impact on PD, EAD, LGD and guarantee fund adequacy. Adjust policies (e.g. guarantee percentage, interest spreads) accordingly.

## 8. Data Governance & Model Risk Management

- Document all data sources, feature engineering steps and model assumptions. Store version-controlled model artefacts.
- Perform regular back-testing and model performance monitoring. Track metrics such as accuracy, type I/II errors and fairness across demographic groups.
- Establish a model review committee (bank + platform + independent expert) to approve model updates.

- Comply with ethical guidelines; avoid using sensitive personal attributes (race, religion, caste) in scoring.

## 9. Summary & Rationale

The risk framework encourages both **learner commitment** and **training provider accountability**. By tying disbursements to milestones and requiring TPs to have skin in the game, the model lowers PD and LGD. Borrower Score ensures that risk-based pricing is transparent, fair and consistent. Using digital repayment channels (UPI AutoPay) and national guarantee funds further reduces losses, making skill loans attractive to banks and enabling sustainable scaling across J&K.

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[1] Soaring unemployment rate

<https://www.greaterkashmir.com/opinion/soaring-unemployment-rate/>

[2] [4] Skill Loan Scheme – Shree Lohana Samaj Trust Konkan Vibhag

<https://konkanlohanasamaj.com/skill-loan-scheme/>

[3] Digital convenience: New ways for India's MFI borrowers to repay loans - MicroSave Consulting (MSC)

<https://www.microsave.net/2025/06/26/digital-convenience-new-ways-for-indias-mfi-borrowers-to-repay-loans/>